LEARNING CENTRE

HOW TO REDUCE HEALTH INSURANCE PREMIUM

By opting for the co-pay facility, you agree to bear a specific portion of your medical expenses and thereby reduce the premiums on health insurance

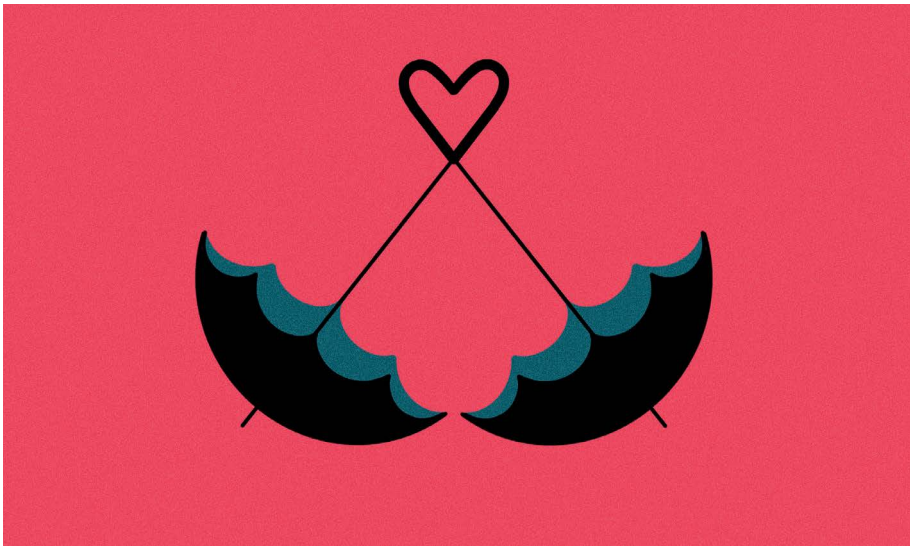


Illustration by SIDDHANT JUMDE

With increasing healthcare expenses, the cost of health insurance is also on the rise and can impact your finances even if you have health insurance. There are several aspects of health insurance that one needs to understand to utilise the policy to its fullest. One such key feature is the co-pay facility in medical insurance. Co-pay is a proportion of the allowable claim amount that you, as a policyholder, bear at the time of a health insurance claim settlement. Think of it as your contribution each time you face a health insurance claim. Co-payment varies depending on the health insurance plan and the type of services you receive as part of the policy you have.

When you opt for co-pay, you bear a fixed part of the expenses towards medical treatment, while the rest is borne by the insurer. This can either be as a fixed amount or a fixed percentage of the treatment costs. For instance, if you opt for a co-pay of Rs 5,000 on your treatment expenses and the claim works out to Rs 12,000, you will be required to pay Rs 5,000 towards your treatment, while the remaining Rs 7,000 is to be covered by the insurer. Co-pay could also be as a proportion of the claim you raise; 10 per cent of the total claim means that on a claim of Rs 1 lakh, you will pay Rs 10,000 and the balance is paid by the insurer.

Depending on the nature of the claim—cashless or reimbursement—the manner in which the co-pay is adjusted will be different. For instance, in case of cashless claims, you will need to pay the agreed co-pay component on claims; for reimbursement, the insurer will settle the claim sum after adjusting for the co-pay. Given the rising cost of health insurance premiums, co-pay is a way to reduce the premium outgo. At the same time, for senior citizens, who may find health insurance costs high, especially if they have existing medical conditions, the co-pay facility provides them with an option to reduce their premiums.

There are many forms of co-pay options available these days which are based on the age of the policyholder, the location where the treatment is undertaken, the type of illness resulting in the claim and so on. Just because co-pay is a way to reduce your insurance premium, doesn't mean you go for it blindly. Opt for co-pay after understanding the benefit and how it works for you. ■

-Narayan Krishnamurthy

ADVANTAGE OF CO-PAY

- The insurer bears a significant part of the claim
- You pay for an agreed fixed part of every claim
- Co-pay is fixed at the time of taking the policy
- A lower co-payment means higher premium payment
- Co-pay could be useful in case of health insurance for senior citizens

NEXT TIME: What is deductible in general insurance?